

CapitalScale Bank Ltd.

Retail & SME Banking Division

SME LOAN UNDERWRITING POLICY

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1. Purpose and Scope

This policy document establishes the framework, criteria, and guidelines governing the appraisal and sanction of loans extended to Small and Medium Enterprises (SMEs) by CapitalScale Bank Ltd. (hereinafter referred to as 'the Bank'). The policy is formulated in alignment with Reserve Bank of India (RBI) circulars on Priority Sector Lending, MSME credit guidelines, and the Bank's internal risk appetite statement approved by the Board of Directors.

This policy applies to all SME loan products including Working Capital Loans, Term Loans, Business Expansion Loans, and Machinery/Equipment Finance with ticket sizes ranging from ■10 Lakhs to ■5 Crores.

2. Eligibility Criteria

2.1 Business Entity

- The applicant must be a registered business entity: Proprietorship, Partnership Firm, LLP, or Private Limited Company.
- The business must be operating for a minimum of 2 (two) years from the date of incorporation or registration.
- The business must be categorised as Micro, Small, or Medium Enterprise as per the MSME Development Act, 2006 and subsequent amendments.
- The business must be domiciled and operating primarily within India.

2.2 Promoter Profile

- The primary promoter must be an Indian citizen aged between 21 and 65 years at the time of loan application.
- The promoter must hold a minimum 26% stake in the business entity.
- No existing track record of wilful default or NPA classification with any financial institution in the last 5 years.
- CIBIL score of the promoter(s) must be 680 or above. Scores below 650 result in automatic disqualification.
- No conviction for financial fraud, money laundering, or related offences.

2.3 GST and Tax Registration

- A valid GSTIN (Goods and Services Tax Identification Number) is mandatory for all applicants with annual turnover exceeding ■40 Lakhs.
- The applicant must have filed GST returns (GSTR-1 and GSTR-3B) consistently for the last 12 months with no periods of default exceeding 60 days.
- Income Tax Returns (ITR) must be filed for the last 2 consecutive financial years.

3. Loan Parameters

Parameter	Micro Enterprise	Small Enterprise	Medium Enterprise
Loan Amount (Min)	■10,00,000	■25,00,000	■75,00,000
Loan Amount (Max)	■50,00,000	■2,00,00,000	■5,00,00,000
Tenure (Max)	5 years	7 years	10 years
Interest Rate (Base)	MCLR + 2.5%	MCLR + 2.0%	MCLR + 1.5%
Processing Fee	1.5% of loan amt.	1.25% of loan amt.	1.0% of loan amt.
Collateral Coverage	100% - 120%	110% - 130%	120% - 150%
Moratorium Period	Up to 6 months	Up to 9 months	Up to 12 months

4. Financial Benchmarks and Underwriting Standards

4.1 Minimum Annual Turnover

- The applicant's annual turnover for the last financial year must be at least 3x the requested loan amount.
- The turnover must be consistent over the last 2 years with no year-on-year decline exceeding 20%.
- Turnover must be verifiable through audited financial statements, GST returns, or ITR.
- For businesses with turnover exceeding ■1 Crore, CA-audited financial statements are mandatory.

4.2 Debt Service Coverage Ratio (DSCR)

The Debt Service Coverage Ratio (DSCR) measures a business's ability to repay its debt obligations from its net operating income. The formula is: **DSCR = Net Operating Income / Total Debt Service**.

- Minimum acceptable DSCR: 1.25x for Micro; 1.35x for Small; 1.50x for Medium Enterprises.
- DSCR below 1.0 is an automatic disqualifier — the business cannot service its debt from operating income.
- DSCR must be calculated on projected financials for new businesses under 3 years old.

4.3 Net Profit Margin

- Net profit margin for the most recent financial year must be positive (i.e., the business must be profitable).
- Businesses with net losses in the most recent year are ineligible, except for startups in Sector 7 (technology/green energy) with verifiable venture funding.
- A consistent margin of at least 5% over the last 2 years is preferred for Medium Enterprise classification.

4.4 Existing Debt and Leverage

- Total Outstanding Debt-to-Equity Ratio must not exceed 3:1 at the time of application.

- Total monthly EMI obligations (all existing loans) must not exceed 50% of average monthly net income.
- No more than 2 unsecured loans outstanding at the time of application.

4.5 Bank Statement Analysis

- Average Monthly Balance (AMB) in the applicant's primary business bank account must be at least 10% of the monthly loan EMI for the proposed loan.
- The last 6 months of bank statements must demonstrate consistent cash inflows aligned with declared turnover.
- Cheque bounce incidents must not exceed 3 in the last 12 months. More than 5 bounces is an automatic disqualifier.
- Inward cheque return ratio (bounced/total) must not exceed 5%.

5. Documentation Requirements

The following documents are mandatory for all loan applications. Incomplete documentation will result in the application being held in pending status. No credit decision will be made without the complete document set.

Document Category	Document Name	Mandatory
Identity & Business	Aadhaar Card, PAN Card (Promoter)	Yes
	Business PAN Card	Yes
	GST Certificate (GSTIN)	Yes (if applicable)
Identity & Business	Certificate of Incorporation / Partnership Deed	Yes
	ITR for last 2 financial years	Yes
	Audited Balance Sheet & P&L Statement (last 2 years)	Yes (>₹1Cr turnover)
	Bank Statements – 12 months (primary account)	Yes
Financial	GST Returns (GSTR-3B) – last 12 months	Yes
	Property documents / Valuation report	If collateral offered
Collateral	Stock / Receivables statement	For WC loans
	Existing loan sanction letters / repayment schedule	If applicable
Others	Udyam Registration Certificate	Preferred

6. GST and Tax Compliance Standards

- Applicant must be GST compliant with no pending dues exceeding ₹50,000 at the time of application.
- GST turnover declared in GSTR returns must be consistent with the revenue declared in the Income Tax Return. A variance of more than 15% will require explanation and supporting evidence.
- Any GST registration suspension or cancellation in the last 3 years is a disqualifying factor.
- TDS compliance certificates may be requested for businesses with significant TDS liabilities.

- Applicants with pending income tax demands (not under dispute) exceeding ₹2 Lakhs are ineligible.

7. Credit Risk Assessment Framework

All loan applications are evaluated using the Bank's proprietary Risk Scoring Model (RSM v2.4). The model assigns a composite risk score on a scale of 300 to 850, combining financial health, credit history, business vintage, and sector risk.

Risk Score Range	Risk Category	Recommendation
750 – 850	LOW RISK	Fast-track approval. Standard rate.
650 – 749	MEDIUM RISK	Standard approval process. Normal rate.
550 – 649	HIGH RISK	Manual review required. Higher rate applicable.
450 – 549	CRITICAL RISK	Approval requires Senior Credit Committee sign-off.
Below 450	REJECT	Application to be declined.

8. Automatic Disqualification Criteria

The following conditions result in automatic disqualification. No exception or waiver applies to these criteria without explicit Board-level approval:

- ✗ Promoter CIBIL score below 650.
- ✗ Business classified as NPA or written-off by any bank or NBFC in the last 5 years.
- ✗ More than 5 cheque bounces in the last 12 months.
- ✗ Net loss (negative net profit) in the most recently completed financial year.
- ✗ DSCR below 1.0.
- ✗ GST registration cancelled or suspended.
- ✗ Business vintage less than 24 months from the date of application.
- ✗ Turnover-to-loan ratio below 3:1.
- ✗ Pending criminal cases related to financial crimes against any promoter.
- ✗ Submission of forged, manipulated, or misrepresented documents.

9. Approval Authority Matrix

Loan Amount	Approving Authority	TAT
Up to ₹25 Lakhs	Branch Credit Manager	3 Working Days
₹25L – ₹1 Crore	Zonal Credit Head	5 Working Days

■1 Crore – ■3 Crores	Regional Credit Committee (RCC)	7 Working Days
■3 Crores – ■5 Crores	Central Credit Committee (CCC)	10 Working Days
Above ■5 Crores	Board Credit Committee (BCC)	15 Working Days

10. Policy Exceptions and Waivers

Deviations from this policy may be considered on a case-by-case basis, subject to the following conditions:

- Any exception to Sections 2, 4, or 6 requires written justification from the Relationship Manager and must be approved by the Regional Credit Head.
- Exceptions to automatic disqualification criteria (Section 8) require Board Credit Committee approval and must be documented in the credit file.
- All exceptions must be logged in the Loan Origination System (LOS) against the application ID.
- Post-sanction monitoring is mandatory for all exception cases — quarterly review for the first year.

This policy is effective from 01 April 2025 and supersedes all previous versions of the SME Loan Policy. Document generated on 28 June 2026. For queries contact: credit.policy@capitalscalebank.in